

Recurring Charges and Rent Escalation Setup

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Purpose

This procedure defines how recurring tenant charges such as base rent and scheduled escalations are configured in Yardi Voyager so that billing matches the executed lease.

Recurring Charge Setup

A recurring charge record is created for each contractual charge on a lease, including base rent, CAM estimates, and parking. Each charge has a start date, an optional end date, a charge code mapped to the correct revenue account, and an amount. The charge code determines which GL revenue account the billing posts to, so it must match the GL Account Coding Standards.

Rent Escalations

Escalations are scheduled in advance based on the lease terms. A fixed-percentage escalation increases the base rent by the stated percentage on the anniversary date. The escalation must be entered as a scheduled step so that it applies automatically; manually changing the rent each year is error prone and is not permitted.

Escalation Example

If a lease has monthly base rent of 10,000 with a 3 percent annual escalation, the rent becomes 10,300 on the first anniversary and 10,609 on the second. The escalation compounds on the prior year's rent unless the lease specifies that it is calculated on the original base.

Proration

When a charge starts or ends mid-month, the first and last months are prorated based on the number of days the charge is in effect, using the property's standard proration method. Confirm whether the lease uses a 30-day month or actual days before billing the first period.

Verification

After setup, generate a charge schedule preview and reconcile it to the lease abstract. Confirm the annual rent and the escalation steps tie to the lease before the first billing runs. Any discrepancy must be resolved before billing, because a billing error compounds across every future escalation.